

coming of age. A new generation that had a different view of what's normal hit at the same time a lot of the economic tailwinds of the previous two decades ended.

Everything in finance is data *within the context of expectations*. One of the biggest shifts of the last century happened when the economic winds began blowing in a different, uneven direction, but people's expectations were still rooted in a post-war culture of equality. Not necessarily equality of income, although there was that. But equality in lifestyle and consumption expectations; the idea that someone earning a 50th percentile income shouldn't live a life dramatically different than someone in the 80th or 90th percentile. And that someone in the 99th percentile lived a better life, but still a life that someone in the 50th percentile could comprehend. That's how America worked for most of the 1945–1980 period. It doesn't matter whether you think that's morally right or wrong. It just matters that it happened.

Expectations always move slower than facts. And the economic facts of the years between the early 1970s through the early 2000s were that growth continued, but became more uneven, yet people's expectations of how their lifestyle should compare to their peers did not change.

7. The boom resumes, but it's different than before.

Ronald Reagan's 1984 "Morning in America" ad declared:

It's morning again in America. Today more men and women will go to work than ever before in our country's history. With interest rates at about half the record highs of 1980, nearly 2,000 families today will buy new homes, more than at any time in the past four years. This afternoon 6,500 young men and women will be married, and with inflation at less than half of what it was just four years ago, they can look forward with confidence to the future.

That wasn't hyperbole. GDP growth was the highest it had been since the 1950s. By 1989 there were six million fewer unemployed Americans than there were seven years before. The S&P 500 rose almost fourfold between 1982 and 1990. Total real GDP growth in the 1990s was roughly equal to that of the 1950s—40% vs. 42%.

President Clinton boasted in his 2000 State of the Union speech: